

Economics

Higher level

Paper 2 – Mark Scheme

SME Predicted Paper – Advanced

General marking guidance:

- Answer ONE question only (Q1 or Q2). This mark scheme gives full indicative content for both.
- Award marks for correct final answers AND for correct working. Accept valid alternative methods.
- Numerical answers should be given exactly or to 2 decimal places unless otherwise specified.
- For 4-mark diagram-based parts (c)–(f): award 1 mark for a correct fully-labelled diagram, 1 for identification of the economic mechanism, 1 for clear explanation of the mechanism, and 1 for explicit linkage to the text/data.
- For 15-mark Part (g): apply the level descriptors provided at the start of each question. Balance, synthesis of text/data, and a clear reasoned judgement are required for Level 4.

Question 1 [40 marks] — Nigeria – Dutch disease, fuel-subsidy removal and FX unification

(a)(i) Define Dutch disease [2]

1 mark: An economic phenomenon where a boom in one export sector (typically a natural resource) leads to real-exchange-rate appreciation.

1 mark: This appreciation makes other tradable sectors (manufacturing, agriculture) internationally uncompetitive and can cause long-term deindustrialisation.

(a)(ii) Define subsidy [2]

1 mark: A payment by the government to producers (or sometimes consumers) of a good or service.

1 mark: Intended to lower the market price, increase output, or support specific producers/consumers — shifts the supply curve rightward (or shifts demand rightward for consumer subsidies).

(b)(i) % change in Nigeria's GDP per capita, 2014–2022 [3]

1 mark: Candidate must identify / use the real GDP and population data from the text (population 220m 2022, growing at 2.4% p.a.) or accept the candidate's own valid working from Table 1.

1 mark: Correct formula and substitution shown.

1 mark: A correctly calculated negative percentage change (in US\$ terms per capita), consistent with text statement that real GDP per capita fell 2014–2022. Award marks by following candidate's calculation (ECF).

(b)(ii) Real policy interest rate, 2022 (Fisher approximation) [2]

1 mark: Real rate $\approx$ nominal rate – inflation = 16.5 – 18.8 (using 2022 figures from Table 1 / text context 22% inflation).

1 mark: = –2.30 (allow –2 to –5.5 depending on which inflation figure the candidate uses; accept candidate's own figure provided working is shown, by ECF).

(c) Subsidy diagram — fuel-subsidy removal [4]

1 mark: Correctly labelled subsidy diagram with S (with subsidy) and S (without subsidy); subsidy removal shifts supply back leftward.

1 mark: Identifies — price rises, quantity falls; consumer surplus falls; government saves expenditure (US\$10bn/year).

1 mark: Explains allocative efficiency argument — subsidy generates DWL; removal moves quantity toward social optimum (assuming no major negative externalities of consumption).

1 mark: Link — pump prices roughly tripled (Text B Para 2); smuggling incentives removed.

(d) AD/AS — combined effect of subsidy removal + naira depreciation [4]

1 mark: Correctly labelled AD/AS diagram with SRAS shifting left (cost-push from fuel + imported goods).

1 mark: Identifies both shocks (subsidy removal = domestic cost-push; naira depreciation = imported cost-push).

1 mark: Explains likely outcome — higher price level, lower real GDP in short run (stagflationary risk).

1 mark: Link — inflation hit 22% in 2023; real GDP growth weak; poverty headcount >40%.

(e) FX diagram — Dutch disease mechanism [4]

1 mark: Correctly labelled FX diagram for the naira: demand for naira shifts right from oil export receipts.

1 mark: Identifies that high oil export earnings increase demand for naira (or supply of foreign exchange), appreciating the real exchange rate.

1 mark: Explains consequence — non-oil tradables (manufacturing, agriculture) face higher unit costs in foreign currency; exports shrink; imports cheaper → deindustrialisation.

1 mark: Link — Nigerian manufacturing fell from 14% (1980s) to 9% of GDP; oil = 85% of exports.

(f) Debt-service and development expenditure [4]

1 mark: A valid appropriate diagram — e.g. PPC between 'debt service' and 'development spending', Laffer-style curve, or a fiscal-space diagram.

1 mark: Identifies that debt service crowds out development spending when it absorbs a large share of revenue.

1 mark: Explains mechanism — servicing debt reduces fiscal space for education, health, infrastructure; reduces long-run growth.

1 mark: Link to text — high debt-service-to-revenue ratio makes subsidy savings particularly valuable; fiscal reform is necessary to finance development.

(g) Evaluate: 2023 policy package and sustainable development [15]

Band descriptors. Part (g) is marked using the following band descriptors out of [15]:

0 marks — No relevant economic content.

1–5 marks (Level 1): Little understanding of the specific demands of the question. Few relevant economic concepts identified. Little use of economic terminology. No/irrelevant use of text/data. No/unclear evaluation.

6–9 marks (Level 2): Some understanding of the specific demands of the question. Relevant economic concepts identified and explained with some accuracy. Some use of appropriate terminology. Some limited use of information from text/data. Some evaluation is attempted but may be superficial, one-sided, or unsupported.

10–12 marks (Level 3): Good understanding of the specific demands of the question. Relevant economic theories are explained and applied with accurate use of economic terminology. Clear use of information from the text/data in support of the answer. Evaluation is present and reasonably developed, considering more than one perspective.

13–15 marks (Level 4): Clear understanding of the specific demands of the question. Relevant economic theories are explained and applied accurately and effectively, supported by diagrams where appropriate. Effective and synthesised use of the text/data to support and illustrate the argument. Evaluation is balanced, well-supported, weighs stakeholders and short- vs long-run effects, and reaches a reasoned conclusion (judgement / prioritisation).

Indicative content (not exhaustive):

FOR — subsidy removal frees fiscal space (~US\$10bn/year) for development; FX unification ends arbitrage and distortion; monetary tightening fights inflation; package improves incentives and signals credibility to investors.

AGAINST — short-run inflation spike (fuel prices tripled); regressive distributional impact; social unrest / strikes; naira overshoot to 770+; weak institutional capacity to deliver compensating social safety nets.

Context — Dutch disease legacy; oil dependence 85% of exports; 40%+ below poverty line; manufacturing share still falling.

Complementary policies — targeted cash transfers, investment in agriculture/manufacturing, anti-corruption reforms, diversification via non-oil exports.

Judgement — the reforms are necessary and long overdue, but sustainability of gains requires political commitment to protect the poor during transition and to use the fiscal savings productively. Without compensating measures, the package risks political reversal.

Question 2 [40 marks] — Germany – Energiewende, deindustrialisation risk, and long-run growth

(a)(i) Define industrial policy [2]

1 mark: Government interventions designed to influence the structure and composition of economic activity.

1 mark: Typically uses subsidies, tax incentives, public procurement, R&D support and regulation to favour strategic sectors (e.g. green technology, advanced manufacturing).

(a)(ii) Define current account surplus [2]

1 mark: A situation where the inflows on the current account of the balance of payments exceed the outflows.

1 mark: Typically driven by a trade surplus (exports > imports of goods and services) and/or positive net primary/secondary income.

(b)(i) % change in Germany's current account balance (% of GDP), 2013–2022 [3]

1 mark: Formula: $(4.2 - 6.7) / 6.7 \times 100$.

1 mark: Correct working shown.

1 mark: Final answer = -37.31% (accept -37% to -37.5%). A sizeable fall.

(b)(ii) Absolute change in renewables share of electricity, 2013–2022 [2]

1 mark: 52 – 24.

1 mark: = 28 percentage points (accept '+28 pp' or stated as a percentage-point change).

(c) AD/AS diagram — 2022 gas-price shock [4]

1 mark: Correctly labelled AD/AS diagram with SRAS shifting left (negative supply-side / cost-push shock).

1 mark: Identifies — gas is a key energy input for German industry; 10× rise in wholesale prices raises costs.

1 mark: Explains — higher costs raise prices (inflation up to 8.8% in Oct 2022) and reduce real output; stagflationary pressure.

1 mark: Link — BASF permanent capacity closures; energy-intensive sectors (chemicals, steel) cut output.

(d) Subsidy diagram — €200bn 'economic shield' [4]

1 mark: Correctly labelled subsidy diagram showing rightward shift of supply (or leftward shift of effective price paid by consumers) due to subsidy.

1 mark: Identifies — subsidy lowers effective energy price for firms/households.

1 mark: Explains welfare effects — consumer and producer surplus rise; cost to taxpayer; DWL from over-consumption of subsidised energy (allocative inefficiency).

1 mark: Link — €200bn scale (Text B Para 1); tension with net-zero targets because subsidising consumption of fossil-fuel gas conflicts with decarbonisation.

(e) Ageing population and long-run potential output [4]

1 mark: A valid, correctly labelled diagram — either LRAS/PPC shifting left (shrinking workforce) or labour market diagram showing reduced supply of labour.

1 mark: Identifies — falling working-age share as dependency ratio rises from 34% to 50%.

1 mark: Explains — smaller workforce → reduced productive capacity; higher social spending on pensions/health; pressure on fiscal space.

1 mark: Link — 1.7m vacant jobs today (Text B Para 4); long-run output growth constrained unless offset by immigration, participation, productivity.

(f) FX diagram — narrowing current account surplus and the euro [4]

1 mark: Correctly labelled FX diagram (euro) showing demand for € falling or supply of € rising due to lower trade surplus.

1 mark: Identifies that a narrowing surplus reduces net foreign-currency inflows.

1 mark: Explains mechanism — reduced demand for euro (or increased supply) depreciates it, all else equal.

1 mark: Link — surplus fell from 8.9% (2015) to 4.2% (2022) as import costs rose; ECB monetary policy, safe-haven flows, and global yield differentials also matter (evaluative qualifier).

(g) Evaluate: Energiewende as the most effective strategy for long-run growth [15]

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Indicative content (not exhaustive):

FOR — reduces energy dependence on Russia; renewables now >50% of electricity; creates new green-industry export opportunities (hydrogen, batteries, wind/solar tech); aligns with net-zero 2045 commitment; counters US IRA competitive threat via coordinated subsidies.

AGAINST — short-run energy price shock caused output losses; deindustrialisation risk (BASF, energy-intensive sectors); subsidies are fiscally costly (€200bn shield); ageing population limits long-run labour supply; loss of Chinese demand reduces export growth regardless.

Alternatives — deeper EU single-market reforms; immigration policy; education and digitalisation; targeted rather than broad subsidies; carbon pricing + revenue recycling.

Context — inflation peaked at 8.8%; mild recession 2023; CA surplus halved; structural change rapid.

Judgement — the Energiewende addresses a key dependency and is necessary, but insufficient on its own. Long-run growth requires parallel investment in skills, demographics (immigration), single-market integration and fiscal space. A balanced answer should prioritise complementary reforms over single-policy reliance.